**UNITED STATES TAX COURT**

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|---|---|---|
| Edward J. Duffy<br>Shannon L. Duffy<br><br>Petitioners,<br><br>v.<br><br>COMMISSIONER OF INTERNAL REVENUE,<br><br>Respondent. | )<br>)<br>)<br>)<br>)<br>)<br>)<br>)<br>)<br>) | Docket No. 8711-16 |

**PRETRIAL MEMORANDUM FOR RESPONDENT**

**NAME OF CASE:** Edward J. Duffy and Shannon L. Duffy v. Commissioner of Internal Revenue

**DOCKET NO(S).:** 8711-16

**TRIAL CALENDAR:** Portland, Oregon, December 10, 2018

**ATTORNEYS:**

**Petitioner:**
Pro se
Tel. No.: not stated
Email: not stated

**Respondent:**
Nhi T. Luu, Senior Attorney (Portland, Group 2)
Tel. No.: (503) 265-3608
Email: [email not legible in the scanned copy]

**AMOUNTS IN DISPUTE:**

| Year(s)/ Period(s) | Deficiencies/Liabilities | Additions/Penalties |
|---|---|---|
| 2009 | $44,514.00 | $7,942.80 (sec. 6662(a)) |
| 2010 | $40,469.00 | $8,093.80 (sec. 6662(a)) |
| 2011 | $318,580.00 | $63,716.00 (sec. 6662(a)) |
| 2012 | $59,022.00 | $11,804.40 (sec. 6662(a)) |
| 2013 | $198,329.00 | $39,457.80 (sec. 6662(a)) |

| Year(s)/ Period(s) | Deficiencies/Liabilities | Additions/Penalties |
|---|---|---|
| 2014 | $1,544.00 | $108.80 (sec. 6662(a)) |

**STATUS OF CASE:**

☐ Probable Settlement ☐ Probable Trial ☒ Definite Trial

**CURRENT ESTIMATE OF TRIAL TIME:** 3-4 hour(s)

**STATUS OF STIPULATION OF FACTS:**

☐ Completed, will be filed electronically ☒ In Progress

**MOTIONS RESPONDENT EXPECTS TO MAKE**

None.

**ISSUES**

1. Whether petitioners are entitled to claim a loss from the sale of a business asset in the amount of $971,988.00 in 2011, which was attributable to the short sale of their Gearhart beach house and generated a net operating loss in 2011 that petitioners carried back to taxable years 2009 and 2010.

If petitioners are not entitled to a reported loss of $971,988, then petitioners also would not be entitled to take suspended Schedule E rental losses in the amount of $199,875.00 claimed in 2011 and a net operating loss in 2011. Disallowance of the 2011 net operating loss also resulted in the disallowance of claimed net operating loss carrybacks to taxable years 2009 and 2010 in the amounts of $274,002.00 and $144,268.00, respectively.

Lastly, if petitioners are not entitled to the $971,988.00 loss from the sale of the Gearhart beach property, and thus are not entitled to a net operating loss in 2011, then petitioners are liable for taxes upon the state tax refund that they received in the amount of $28,643.00 in 2012.

2. Whether petitioners are liable for taxes upon cancellation of indebtedness income in the amounts of $108,661.00 and $391,532.00 for taxable years 2011 and 2013, respectively. If petitioners' cancellation of indebtedness income was excludible because petitioners were insolvent at the time of the discharge, then tax attributes reduction is required under I.R.C. § 108.

3. Whether petitioners are entitled to disallowed Schedule C car and truck expenses and travel expenses related to Impact Medical for taxable year 2011, which was a single-member disregarded entity in 2011, in the amounts of $1,680.00 and $543.00, respectively.

4. Whether petitioner Edward Duffy had sufficient outside basis in Impact Medical LLC to take the reported losses and whether he owes taxes, including self-employment taxes, upon the guaranteed payments received from Impact Medical LLC during taxable years 2012, 2013, and 2014.

5. Whether petitioner Edward Duffy is entitled to reported unreimbursed partnership expenses in the amounts of $11,690.00, $10,397.00, and $15,399.00 for taxable years 2012, 2013, and 2014.

6. Whether petitioners are liable for the accuracy-related penalties for all years.

**WITNESS(ES) RESPONDENT EXPECTS TO CALL**

| Witness | Expected testimony |
|---|---|
| Petitioners | Petitioners are expected to testify as to the issues in dispute, including (1) the preparation of their tax returns, including the information and documents that they provided; (2) their Gearhart beach house, including their use; and (3) petitioner Edward Duffy's involvement with Impact Medical LLC, including contributions, distributions, and guaranteed payments |

| Witness | Expected testimony |
|---|---|
| | received during 2012, 2013, and 2014. |
| Revenue Agent Heather Buss | Revenue Agent Heather Buss is expected to testify about (1) her audit of petitioners' tax returns at issue in this case, (2) her investigation and review of financial records to determine petitioners' use of the Gearhart beach house, and (3) the adjustments in the notice of deficiency. She may also authenticate documents if they are not stipulated. |

In addition, respondent may also call any witness listed or called by the petitioners and any witness whose testimony becomes relevant as a result of documents produced on behalf of the petitioners after the date of this memorandum. Respondent also may call additional witnesses for rebuttal and/or impeachment purposes.

**SUMMARY OF FACTS**

Petitioner Edward Duffy has a work background in the sale of medical devices. On February 23, 2011, Edward Duffy formed [the entity name is not legible in the text layer of the scanned copy].

*[Memorandum pages 7 to 11 are not transcribed in this sample: the facts about the Gearhart beach house sale, the table of the sale, and the net operating loss carrybacks.]*

The remaining adjustments in the notice of deficiency are computational adjustments due to the increased adjusted gross income from the adjustments noted above. The respondent's positions on these adjustments are as follows:

(1) Primary position: the debtor did not have any basis in Impact Medical LLC for these taxable years, so the reported flow-through partnership losses are disallowed. The debtor did not acquire basis in the LLC from two loans.

Additionally, the guaranteed payments paid to the debtor by Impact Medical LLC are taxable income subject to self-employment tax. Lastly, petitioners did not substantiate claimed unreimbursed partnership expenses.

(2) Secondary position: If petitioners were in fact insolvent in 2011 and/or 2013 just prior to the forgiveness of the debts, then any cancellation of indebtedness income treated as nontaxable due to the insolvency would result in tax attribute adjustments to petitioner Edward Duffy's outside basis in Impact Medical LLC.

**ANALYSIS OF ISSUES AND AUTHORITIES**

*[Memorandum pages 13 to 17 and 19 to 21 are not transcribed: the discussion of the net operating loss, cancellation of indebtedness income, and Schedule C expenses.]*

Partnership. While a partnership is not subject to tax on its taxable income, each partner generally must account for his distributive share of partnership taxable income in computing his income tax. I.R.C. § 702. The amount of partnership loss that may be recognized by a partner is limited to the amount of the adjusted basis (before reduction by the current year's loss) of his interest in the partnership at the end of the partnership tax year in which the loss occurred. I.R.C. § 704(d). Additionally, there are rules limiting a partner's deduction for any tax year to the amount he is at risk in the partnership for that year, which is applied at the partner's level. I.R.C. § 465; Temp. Treas. Reg. § 1.469-2T(6).

A partner's basis in his partnership interest (his outside basis) is increased by his contributions to the partnership and his distributive share of partnership taxable income, while his basis is decreased by amounts distributed to him by the partnership and distributive shares of partnership losses. I.R.C. § 705(a). A partner's outside basis is also increased by the partner's share of partnership

liabilities. I.R.C. § 752(a). Petitioner Edward Duffy has not established that he had sufficient basis in Impact Medical LLC during taxable years 2012, 2013, and 2014 to take the losses.

Any fixed payments to partners for services or for the use of capital made without regard to partnership income are treated as though paid to a nonpartner for purposes of computing partnership gross income and business expense deductions. Thus, guaranteed payments are regarded as ordinary income to the recipient and are deductible by a partnership as ordinary and necessary business expenses. I.R.C. § 707(c); Treas. Reg. § 1.707-1(c).

Lastly, a partner generally may not directly deduct the expenses of the partnership on his or her individual returns, even if the expenses were incurred by the partner in furtherance of partnership business. *Cropland Chem. Corp. v. Commissioner*, 75 T.C. 288, 295 (1980). Petitioners have not established that petitioner Edward Duffy is entitled to the disallowed unreimbursed partnership expenses.

Penalties. Section 7491(c) provides that the respondent shall have the burden of production with respect to the liability of any individual for any penalty or addition to tax. Once respondent has met his burden of production, the burden shifts to the taxpayers to show that they are not subject to the asserted addition to tax or penalties. Respondent is not required to produce evidence relating to defenses such as reasonable cause. *Higbee v. Commissioner*, 116 T.C. 438, 446 (2001). Section 6662 imposes a 20% accuracy-related penalty on the portion of an underpayment attributable to negligence or disregard of rules or regulations, or to a substantial understatement of income tax. A substantial understatement of income tax exists if the amount of understatement for the taxable year exceeds the greater of ten percent of the tax required to be shown on the return or $5,000.00. I.R.C. §

6662(d). However, the accuracy-related penalty does not apply if the taxpayer proves that he had reasonable cause and good faith for his underpayment. I.R.C. § 6664(c). Under I.R.C. § 6001, petitioners were required to maintain records sufficient to establish the items reported on their tax returns. Treas. Reg. § 1.6001-1(a). They failed to maintain the required books and records and have not provided the information and records necessary to substantiate the claimed deductions and losses disallowed by the IRS. Additionally, the adjustments resulted in substantial understatement of income taxes for the years at issue. Therefore, petitioners are liable for the accuracy-related penalties under I.R.C. § 6662(a) for taxable years 2009, 2010, 2011, 2012, 2013, and 2014.

**EVIDENTIARY PROBLEMS:** Respondent would object to the admission of any documents that were not exchanged in accordance with the Standing Pretrial Order and the Court's Order dated November 16, 2018, which directed petitioners to comply with respondent's formal discovery served on September 21, 2018, by November 26, 2018.

**CERTIFICATE OF SERVICE**

This is to certify that a copy of the foregoing PRETRIAL MEMORANDUM FOR RESPONDENT was served on petitioners by mailing the same by Regular and UPS Next Day on November 26, 2018, in a postage paid wrapper addressed as follows: Edward J. Duffy and Shannon L. Duffy, [address redacted in sample].

Dated: November 26, 2018

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